

Jonny Grubin, CEO of SoPost

Jonny started as a solo entrepreneur, bootstrapped with a paycheck, and has built a \$15M+ revenue global business with a small amount of funding. Excellent story!

Sramana Mitra: Let's go to the very beginning of your journey. Where are you from? Where were you born, raised, and in what kind of background?

Jonny Grubin: I was born in London but moved to Newcastle when I was three. My dad is American and my mom is from the UK. I grew up in Newcastle and started on my entrepreneurial journey at a pretty young age. When I was studying for my high school exams, I kicked off and ran a range of entrepreneurial ventures of my own.

Then fast forward to 2009 when I was 18, I moved to London for university. I enrolled in a business management degree at King's College, London. I dropped out three months later to run another startup full-time. I stayed in London and worked very hard to make that startup a success for many reasons.

I ended up shutting it down a couple of years later. That led to me launching a venture called SoPost in late 2012 which has been my dedication and focus for nine years.

Sramana Mitra: What was the 2009 venture that didn't work out?

Jonny Grubin: That was a startup called ZenSocial. The reason I glossed over it was that the original idea behind that morphed into what I ended up launching with SoPost. That was built around this idea that it should be possible to send a physical item to somebody without knowing their physical address.

A very good friend of mine came up with the concept. His challenge was that he is very dyslexic. Both he and his sister were traveling a lot at that time. He said, "I don't know where my sister is. I can't write her address down properly. Why can't I just send a birthday present to her through her Twitter account?"

The core idea behind this was about turning somebody's Twitter account or email address into a delivery address to allow me to send a gift or an item to a friend without knowing their physical location.

Sramana Mitra: Why didn't it work?

Jonny Grubin: After we shut it down, I spent a lot of time reflecting on it. There were a few reasons why. The way that we had formed the business, it was a group of seven or eight of us who had met over Twitter. At that time we started working, not only had we never met in person,

but we didn't know each other at all. It was pretty cool at that time. It was an incredible experience.

As things go on, you need someone who is at the helm. The fact that we were seven or eight people, who were committing our time to this for free, made it challenging to scale. What we didn't have was more of a structure and some full-time commitment.

Sramana Mitra: Full-time commitment is less important. Somebody has to be in-charge. Somebody has to be accountable. The buck stops at somebody. It's very difficult to work as co-founders with a whole bunch of strangers. You can hire people who can work for you. If you're talking about equal partnership with a random group of strangers, I don't think it works.

Jonny Grubin: I would agree. If you are doing that, you need somebody who is the person in charge. We treated it as too much of a democracy.

Jonny Grubin: Aside from that, there were a couple of things that led to its failure. The way we executed was not great. The whole idea behind what we were trying to do was about making the process of shipping a physical item easier. When we went back and looked back, it was a 26-step process to send an item to another person. We were making it much harder. It just really affected the adoption rate. It wasn't because nobody was interested in the concept; it was because it was a long-winded experience to use our product.

The third is that the timing was wrong. We could have launched exactly the same thing years later and would have had better success. The reality is the way we structured the team, the way we executed things wasn't helpful.

Sramana Mitra: I would offer you another possibility also. It's a hyper-segmented target audience. I think people have reservations about giving out their delivery address. There is this particular segment of people who would want to divulge their delivery address.

One of the issues we deal with a lot is the question of TAM. Is there enough market for what you're offering? If something is niche-y and sub-segmented, it's okay to build a small business but it's not going to be a scalable business. Let's hear what happens in 2012.

Jonny Grubin: We ended up closing our business in the middle of 2011. I then went off and got a job at a frozen yogurt shop to help pay the bills and then ended up at a friend's company. He had built this model around putting a commercial infrastructure around very smart technical founders. His model was that there are a lot of smart technical products who need to raise investment to turn it into a business.

A lot of people in that position are not going to be successful at raising the money. Also, they don't want to be doing the business side of things. They want to focus on what they're really good at which is building incredible tech. I joined this company that was focused on finding

really intelligent tech founders with great products. The model was that his business would invest whatever was needed to build out the product.

Over the course of the year, I was the link between these external teams and the commercial infrastructure that we had built internally. What was really good for me was that my friend Simon always knew that I wanted to go off and do my own thing. I wasn't in a position financially where I could go my own way without some sort of fallback. The agreement we came to was that when there was something I wanted to spend my time doing, as long as I was covering my cost within the business, I could work four days a week.

About a year and a half in, I wanted to have another go at this concept that we got very wrong last time. I was convinced that it hadn't failed because the idea was bad, but because of the reasons that we had talked about. While on his payroll for the first few months, I launched SoPost. It's a very different organization than it was in 2012.

When I launched it, it was trying to take that concept that we started in 2009 much further but also to do things differently. First, your address shouldn't be a fixed place. It should be where you are or where you want stuff to be sent to. It shouldn't matter if I don't know your address because there are things I don't know about you that rarely change. I was trying to solve a couple of problems that I experienced myself. Perhaps it changed a little bit since the onset of the pandemic, but I live in the middle of London. I used to be rarely home. I would always miss the delivery. It's also extremely expensive for delivery companies and retailers.

The idea was to abstract the idea of an address. Let's turn that virtual identity into a proxy for where somebody is or where they want something to go. I obsessed over this idea. It sounds very cliché, but I was always thinking about it. I had a few dreams where I dreamt about it. When I launched SoPost, I wanted to validate something. Did I drop out of university for the right reason? Have I just wasted a few years of my life with nothing to show for it?

Jonny Grubin: I wrote to a couple of friends and we launched an MVP. People couldn't do anything with SoPost, but it allowed me to test the concept. In December 2012, we launched a website where you could sign up with your email address. You could add some delivery addresses and create a schedule, but you couldn't do anything off the back of it.

Sramana Mitra: You said you worked with a couple of friends. You also had this paycheck that was still going when you started this company. Can you take me to that very beginning before you launched an MVP when you decided to restart? How long did you keep that other job?

Jonny Grubin: The first few months of it, I was trying to figure it out and understand what I wanted. All in all, it was probably six and eight months. I understand the technical side of things, but I'm not a programmer. I can't code. I also didn't have the ability to pay commercial rates to build something for me.

I had somebody who was prepared to put in a small amount of investment to get me going. I was very nervous about taking external funding. I wanted to prove something out first. I didn't

want somebody to invest and have their money disappear. It was important to me that I had some skin in the game. It was really bootstrapped. Having my small salary from the other company helped.

Sramana Mitra: But you were a solo entrepreneur bootstrapping with a paycheck?

Jonny Grubin: Yes.

Sramana Mitra: We have tons of solo entrepreneurs building companies. We have tons of bootstrapping with a paycheck entrepreneurs. In fact, bootstrapping with a paycheck is a massive trend right now.

Jonny Grubin: I think it's a good way to do things. I meet a lot of people who are thinking about starting something. They think they need to change everything in order to do it. I tell them you don't. In my mind, there is no point in taking that huge risk until you've at least demonstrated that you have something there.

Sramana Mitra: Who built your MVP?

Jonny Grubin: It was a very good friend of mine. He's an incredible human being. He likes to build stuff. We've probably known each other for 12 years now. In that time, I've seen him build agencies, cool tech products, and co-working spaces.

Sramana Mitra: By the time you quit your job, was the MVP done?

Jonny Grubin: Yes. We launched the MVP in December 2012. It was very basic. It answered the questions that I wanted to answer. Is there demand for this? What happened from there was that I raised a little bit of investment.

Sramana Mitra: Was the one you were working who put in the money?

Jonny Grubin: It was somebody else. It was someone I had met a few years earlier and who believed in me.

Sramana Mitra: Friends and family investments happen in people. They're not investors in businesses; they're investors in people.

Jonny Grubin: Exactly. I'm grateful for that as well. I've always been quite focused on who we do and do not raise investment from.

Sramana Mitra: How much money did your friend put in?

Jonny Grubin: He put in £45,000, which for me felt like a huge amount of money.

Sramana Mitra: What exactly where you able to prove in that MVP? I'm so used to constantly working with people's pitches. As you were speaking, one thing that struck me is you almost have two ideas in there. One is this idea that for people in urban areas

where theft is higher and there's no safe space to leave something. That is a real delivery problem.

Then you talked about tying a delivery address to all these social media profiles. Those are two different problems. Did you solve for both of them?

Jonny Grubin: I was trying to solve both. They're very interlinked. For me, it was very much focused on convenience not only for the receiver but also the sender. The convenience comes from linking it to an identifier that doesn't change. It doesn't necessarily need to be a social media profile. In the MVP, we never had a demonstrable use case.

What the MVP allowed me to prove was that there was demand for that. Consumers loved it. We had a lot of interest from retailers. A number of delivery companies were interested to the point where one of them flew me to visit them for a week because they wanted to invest in it. The purpose of the MVP wasn't to have a fully-functioning product.

Sramana Mitra: You proved the MVP. What happens next?

Jonny Grubin: I didn't know what to do. I say that because the MVP achieved what I wanted it to. There was no doubt in my mind that the concept was strong. It wasn't just me who felt like it was strong. I had this proof.

The biggest issue in implementing this on the global scale wasn't on the technology side. Yes, there were technical challenges. The biggest issue was on the data side. Until I had tens of millions of people who had signed up with me, it didn't matter what technology I had because no delivery company would integrate with me. No retailer would take me seriously. It was a bit of a chicken-and-egg situation.

Without having a huge amount of West Coast VC funding, I couldn't see how I can build that audience. I was really stuck trying to figure out what to do. A couple of months prior to that, somebody who I was leaning on for a lot of advice told me that I should take the path of least resistance in what I was doing. That was a statement that began to resonate with me.

I've been trying to solve this problem, in one form or another, for about three years by this point. I really wasn't getting far. The reason what he said to me really clicked was that it allowed me to think about what I was trying to do differently. There was no reason why I had to take this route. Maybe there was another way.

What had happened which I haven't touched on yet is that around the time we launched the MVP, I met somebody who was looking for the digital marketing for quite a well-known British band. We got talking. The band's been touring. If I could sell more DVDs and build something cool, they'll promote it. This is an amazing way to build that audience. This band had millions of followers.

My friend was still working for me for free. He built a website where you could gift the DVD to a friend. Instead of entering your friend's shipping information on the checkout, you just type them

on Facebook. The friend had a personal timeline. They could tell us where the DVD was to be sent to. That went well.

The reason I bring that up is because it was the catalyst. I sat there in January 2013 scratching my head trying to figure out how to take this forward. A few weeks later, I got this email from somebody very high up from Avon who had seen the work that we have done. They wanted to do the same thing I did for the band.

I knew nothing about the beauty industry at that time. I didn't understand what she wanted. I went to visit her and I met this woman who was at the top of her game. I could tell that she was excited. She essentially said, "If you can do this for us, we'll be your first customer." Without really knowing why but recognizing that she probably knew something that I didn't, we began to pivot.

Over the months that followed, I was able to recruit a couple of people to join me who are still with me today. Over the months, we put our egos to one side and said, "We're going to make this thing work one way or another. We're going to get to that destination somehow." We essentially built a new product that was focused on allowing Avon to go to their existing customers and make it easy for them to gift product samples for their friends.

The real value for the brand was in two things. The first was personal recommendations. The second one was product sampling. What she had seen in the work that we had done with that band was a clever combination of sampling and personal recommendations. We set off in this journey.

We launched a product with them in October 2013. We took things from there and moved away from the original vision of trying to reinvent the entire postal system to be the most powerful product sampling platform in the world.

Sramana Mitra: How much did Avon pay you?

Jonny Grubin: They paid me £1,000 which seemed like a huge amount of money at that time. It was about validating it all. We were still very much bootstrapped. I didn't want to be greedy. I need to charge them something. A thousand pounds seemed like a fair price and it seemed like I could map out how to get to breakeven in a short period of time.

Sramana Mitra: What happened after that? How did you go about building on that concept?

Jonny Grubin: We hustled. I'm not a programmer, but I can sell stuff. I cold-contacted people. Slowly but surely, we managed to win business from some pretty well-known brands.

Sramana Mitra: Were you going after particular kinds of brands?

Jonny Grubin: In the early days, it was anybody who would talk to me. Where we really began to see success was in the beauty industry. Looking back, it's so obvious now. If you can build expertise or a reputation in a certain area, it's much easier to grow there.

Sramana Mitra: Vertical alignment is really effective in marketing.

Jonny Grubin: At the start, it was very much a pray-and-spray approach. We began to get some good traction in beauty and focused on that. Beauty is at the heart of our business today.

Sramana Mitra: What was the end of 2012 like?

Jonny Grubin: I'll give you 2013 because 2012 was when we were testing the MVP. Revenues were no more than a few thousand pounds. We would have been a team of two or three people.

Sramana Mitra: You had figured out that product sampling is the direction you were going to go at the end of 2013. What happened in 2014?

Jonny Grubin: We started to grow. 2014 was when we raised our first proper round of investment. Over the period before that, we had raised little chunks here and there.

Sramana Mitra: How much was raised?

Jonny Grubin: £350,000. That was from a number of angels and a UK-based VC fund. There were points where I wasn't sure whether the business was going to make it. I had investment offers from people and I said, "You know what. I'd rather the business not succeed than have it structured like this." In the end, we were able to pull together an incredible group of investors.

Sramana Mitra: These investors were investing in the sampling platform?

Jonny Grubin: They were. We had some revenues. I wouldn't say we were established. There were some exciting sparks there.

Sramana Mitra: When you were raising the seed round, did you zero-in on the beauty industry yet?

Jonny Grubin: No. We probably had a hunch that there was a lot of opportunity there. The thing that was instrumental in 2014 was we won our first piece of business in the US. We had been focused on UK brands. Almost out of nowhere, we won a deal in New York which was six times larger than anything we had done in the UK. It almost came without trying.

Sramana Mitra: They found you?

Jonny Grubin: I had met somebody for coffee three months earlier who had then passed my details onto them. This is a huge multinational brand. They wanted to distribute 30,000 samples. It was huge. It was one of those moments where it made me realize how big this thing could be and how many opportunities there were.

My outlook was never just UK-focused. The way I was doing things, we were very much talking to brands in the UK and then this happened. We raised that round of seed investment and delivered this campaign in New York. Very quickly, I began to do much more frequent trips to the States to drum up more business.

We started to build out a commercial team in London. Prior to this, I had amazing people on the product and design side. On the commercial side, it was just me. Because there was nobody there supporting me, instead of selling out the next business, I'd be delivering for a few weeks. When I hired Elise, who was the first person to join the commercial team, it was incredible. I would sell and hand it over to her. It was that inflection point where we were not plateauing anymore.

Sramana Mitra: What was the average deal size for this now?

Jonny Grubin: I would need to check, but I would say it was in the low single-digit thousand pounds a deal.

Sramana Mitra: You had to sell them one by one.

Jonny Grubin: Exactly. What was proof that we were doing something right was that all these brands were coming back to us.

Sramana Mitra: The lifetime value was much bigger.

Jonny Grubin: Exactly. My approach even today is to make it really easy for the customer. Ultimately, if you're confident in your product, you should allow them to test in a risk-free way. Never do it for free because it diminishes the value. If you can make it cost-effective for somebody to start with you, you'll win the business much faster.

Sramana Mitra: 2014 and 2015, more of the same?

Jonny Grubin: Our focus and what I had built this business around was gifting samples to a friend. We were doing well with that. There was nobody else in the space. Brands loved it. We were on a pretty exciting trajectory. We had a lot of brands come to us saying, "We want to be able to sample in other ways. We don't do it through just a gifting experience." It was only down to my stubbornness that we focused solely on gifting for so long.

Eventually, I realized that the gifting element was important, but it wasn't where the real value was coming from. It was important because it qualified the individual. We had confidence that somebody who is receiving the sample that way was more engaged than somebody who would just receive it out of the blue.

Sramana Mitra: Quick clarification, where were you getting the list? Who were these 30,000 people?

Jonny Grubin: That was the clever bit. I was never confident in my own ability to recruit a consumer audience. What we did was we built these experiences for the brand. Then we said, “You already have an audience there. Why don’t you contact your customers?” It was the brand going to their customers who would then recruit their friends.

Sramana Mitra: Now that they say that they don’t want to do only gifting. What is your value proposition in that workflow?

Jonny Grubin: That was the question that I asked myself. What I eventually understood was that there was still a huge amount of value around it. What we were doing was much more qualified than traditional sampling. There were a ton of benefits on the data side.

Traditionally, brands would give away a sample and they wouldn’t know anything about the individual. In terms of measuring what happens afterward, everyone told me that their sampling was performing very well, but none of these brands had data to back up their claims. The proposition that we had was much stronger than some of the more conventional forms of marketing.

What we then began to recognize was unless you’ve got strong technology to back all of this stuff up, the internet can be a very easy way to waste a lot of samples. The value that we offer to brands today is on the scalability side. We are shipping millions of orders every month and we’re doing it in an efficient way. It’s very easy to give away samples. You might not need us to do that.

Where a lot of our value comes from is understanding what experience to deliver to each consumer. We are able to detect people who are just looking for free products and perhaps offer them a different experience. When a brand is working with us, they have confidence that their samples are going to the right people and are collecting the right data. They’ve got not only a strong technology platform but an incredible team of account managers and customer success individuals.

Sramana Mitra: Step me through 2014 to 2016. How was the business growing? Did you raise more money?

Jonny Grubin: We raised the seed round in 2014. In 2015, we had around £600,000 in revenue. On Christmas Eve of 2015, we closed another small round of investment which was the last time we raised money. Over the years that followed, we had pretty good growth. We set up an office in New York. We were consistently ranked as UK’s fastest-growing technology company. The team grew at a good pace as well.

Sramana Mitra: How much did you raise in the second round?

Jonny Grubin: Probably about £300,000. In total, we raised about £900,000.

Sramana Mitra: Excellent. I love capital-efficient businesses.

Jonny Grubin: We've got incredible investors, but I never wanted to be making decisions based on what an investor might want. The way we built the business means that we can do things my way. When the pandemic hit, a lot of businesses had to make decisions. We were able to make the decisions that were right for the long-term health and success of our team and customers, because there wasn't an institution breathing down our necks.

Sramana Mitra: All the techniques and principles that you've discussed so far continue through the years following 2015?

Jonny Grubin: Yes. We moved away from solely gifting samples. The surface level has increased. The technology is greater. The core of it is the infrastructure for online sampling.

Sramana Mitra: How many people do you have?

Jonny Grubin: There are 75 of us.

Sramana Mitra: All over the world?

Jonny Grubin: Yes. We have a big team in the US – mainly in New York. We have people in France. We have people in Germany. We are going to be recruiting in other markets soon. We operate in 18 countries today.

Sramana Mitra: What percentage of the business is the beauty industry?

Jonny Grubin: 80%. Beauty is perfect for sampling. What was interesting is that since the pandemic, the concentration in beauty has decreased. Out of necessity, some other industries were forced to work with us. We've seen a lot of rapid growth in other areas as well.

Sramana Mitra: What year did you hit the \$5 million revenue point?

Jonny Grubin: That would have been in 2018.

Sramana Mitra: Then the pandemic accelerated your business.

Jonny Grubin: I feel bad saying it, but the pandemic was good to us. We had two months which were terrible. The world shut down. The month after was a record month for us not just in terms of sales but also volume through our platform. The month after that, it was a record again. In the last 12 months, we've doubled the business in terms of sales and headcount.

Sramana Mitra: In 2021, what's your number?

Jonny Grubin: I can't share that number.

Sramana Mitra: A range is fine.

Jonny Grubin: It'll be between \$15 million and \$20 million.

Sramana Mitra: How are you selling? Is it direct?

Jonny Grubin: Most of our business is inbound today. We have a very small team that's totally dedicated to sales. I've seen businesses that really focus on building the sales team first and then the customer success structure second. They would have these organizations that are amazing at selling, but then they would churn through customers because they couldn't deliver.

My focus was to get the product right first. I'm so pleased that we did do that. We do such a good job for our customers that they recommend us to their competitors. Someone will move from one brand to another and they'll take us with them. Of the outbound selling, we used to do a lot in-person. A lot of it is online – email and socials.

Sramana Mitra: I love the story. You hit so many of my favorite ways of building businesses. Thank you for your time.